

is at least as vulnerable as, and maybe more so than, most of the other markets covered in this book.

The fall in real estate, in turn, will affect financial institutions such as banks and insurance companies. Some states, such as California, have laws that restrict banks from collecting any more than a debtor's house and land on an unpaid mortgage. Many people will simply walk away from their homes and turn their keys in to the banks, which will consequently be vulnerable to going under in large numbers.

Could rapid inflation keep real estate prices up? The best indication of approaching or accelerating inflation is a rising gold price. At this juncture, the gold picture is complex, but appears clear. As long as gold stays below the 1987 peak price just above \$500, the upcoming depression is more likely to be deflationary than inflationary. Even an inflation might fail to return property values to a bull market, however, because real estate consistently *outpaced* inflation for several decades, making property the most widely owned overvalued asset class in the country today.

A collapse in real estate prices will be of extreme importance. The area of greatest speculation among average Americans is *not* the stock market, *not* junk bonds or LBOs. It is *real estate*, typically purchased on 15% margin or less. It burdens most individuals, most banks and, because of bank deposit guarantees and direct agency loans against property, government as well. The next economic contraction will not accompany simply another one-year setback in property prices. It will be a bigger decline in values than that of the 1930s. A deflation will not only wring out the increase in value due to years of inflation, but that due to years of rampant speculation as well. A collapse in real estate prices will cause the depression to be felt materially by virtually every American. Few are prepared for it.